

Agro-Processing Cluster Infrastructure Scheme

DRAFT FOR REVIEW | SCHEME | D020

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An agro-processing cluster brings several food-processing units together around common infrastructure. Under MoFPI's April 2025 guidelines, the grant supports that shared infrastructure. The factories established within the cluster have their own investments and operations.

This structure suits a developer or implementing agency able to assemble land, finance, infrastructure and participating businesses. It requires more than a proposal to build and rent a few industrial sheds.

The cluster has to work as a whole

The guideline requires at least five food-processing units with aggregate investment of at least ₹25 crore. Investment in those units is separate from the eligible infrastructure cost used to calculate the cluster grant. The proposal must show how the units and common facilities will be established and used.

Ordinarily, the site needs at least 10 acres, held through ownership or a qualifying lease of at least 50 years. The guideline allows a smaller land threshold for specified urban arrangements involving vertical development. That exception requires examination of the actual location and layout; it is not a general five-acre rule.

Common infrastructure can include internal roads, drainage and utilities, alongside core facilities such as cold storage, packaging or testing. The selected facilities should answer the needs of the proposed units. A facility with no realistic user base can weaken both appraisal and the eventual operating business.

Assistance and eligible cost

The April 2025 guideline provides 35% of eligible project cost in general areas and 50% in difficult areas and for qualifying SC/ST, FPO and SHG projects, subject to a maximum of ₹10 crore. Land is excluded. Basic enabling infrastructure is also limited within the eligible-cost structure, so the entire site-development bill cannot simply be multiplied by the grant rate.

Prepare separate schedules for land, basic infrastructure, core infrastructure and each processing unit. This makes the grant calculation, bank funding and responsibility for each asset visible. The guideline prescribes promoter contribution, term lending and net-worth requirements, with category-specific provisions.

From proposal to an operating cluster

A useful application includes the land documents, master plan, infrastructure specifications, cost estimates, bank appraisal and credible commitments from proposed processing units. It should explain the product mix, common-facility capacity, water and power demand, waste handling and the agency responsible for operating and maintaining shared assets.

Applications are considered against an EOI and assessed on their merits. Approval fixes the eligible scope and grant; subsequent cost increases do not automatically increase assistance. The Ministry's 2025 EOI had a defined closing date. Confirm a presently applicable invitation before treating a new proposal as ready for submission.

After approval, implementation and expenditure records must distinguish the common project from unit-level investment. That separation helps demonstrate the cluster conditions and avoids claiming the same component through two different projects.

See the [April 2025 APC guidelines](#). A single processing unit should also consider whether its question belongs under [CEFPPC](#).

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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Source links

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1. April 2025 APC guidelines

https://www.mofpi.gov.in/sites/default/files/apc_scheme_guidelines_dated_25.04.2025_0.pdf